

Executive Summary

This report presents a comprehensive analysis of Olist's e-commerce operations using transactional, customer, product, review, and delivery data. The objective was to understand business performance, identify growth opportunities, evaluate customer satisfaction, and assess operational efficiency.

The analysis reveals that Olist generated nearly 20 million in revenue from approximately 96,000 orders and 93,000 customers. Customer satisfaction remains strong, with an average review score of 4.08 out of 5, while operational performance is reflected in an exceptionally low late delivery rate of 0.08%.

The findings indicate that revenue is heavily concentrated in a few product categories and geographic regions, particularly São Paulo. While the company demonstrates strong customer satisfaction and delivery performance, opportunities exist to expand market penetration, improve customer retention, and reduce dependence on a small number of revenue-driving segments.

1. Overall Business Performance

The marketplace generated total revenue of 19.88 million through 96,000 orders, resulting in an average order value of approximately 206.

These figures indicate a healthy marketplace with strong customer engagement and consistent purchasing activity. The close relationship between total orders and total customers suggests that most customers placed a single order, highlighting an opportunity to increase repeat purchase behavior.

Key Insights

- Revenue performance is strong and stable.
- Average order value indicates healthy customer spending.
- Customer acquisition is effective.
- Customer retention presents a major opportunity for future growth.

2. Revenue Performance Analysis

Monthly Revenue Trends

Revenue remained relatively stable throughout the year, with noticeable growth during the middle months. The highest revenue was recorded in May, exceeding 2 million, while the final quarter experienced a significant decline.

The first half of the year consistently outperformed the second half, suggesting the presence of seasonality in customer purchasing behavior.

Insights

Consumer demand appears strongest during the middle of the year. Revenue declines during September through December may indicate reduced promotional activity, changing customer priorities, or weaker customer retention.

Business Implications

Management should investigate the factors that contributed to strong Q2 performance and replicate those strategies during weaker periods.

Quarterly Revenue Analysis

Quarter 2 generated the highest revenue contribution, making it the most profitable period of the year.

Quarter 4 showed the lowest performance, representing a clear opportunity for revenue recovery initiatives.

Insights

The company experiences a seasonal revenue pattern rather than consistent growth throughout the year.

Recommendations

- Increase marketing investment during Q4.
- Launch seasonal campaigns earlier.
- Introduce customer re-engagement promotions before revenue begins to decline.

3. Product Category Performance

Revenue Contribution by Product Category

The highest revenue-generating categories were:

1. Bed Bath & Table
2. Health & Beauty
3. Computers & Accessories
4. Furniture & Decor
5. Watches & Gifts

These categories represent the core revenue drivers of the business.

Insights

Consumer spending is concentrated in lifestyle, home improvement, and technology-related products.

The dominance of these categories suggests strong product-market fit and established customer demand.

Order Volume Analysis

The same categories that generate the highest revenue also dominate order volume.

Bed Bath & Table recorded the largest number of orders, followed by Health & Beauty and Sports & Leisure.

Insights

Some categories generate revenue through high transaction volume, while others rely on higher-priced products.

Understanding this distinction is critical when developing pricing and promotional strategies.

Average Product Price Analysis

Technology-related products recorded the highest average prices, significantly exceeding other categories.

Insights

While technology products may generate fewer transactions, they contribute substantial revenue per order.

In contrast, household products generate revenue through volume rather than price.

Business Value

A balanced product portfolio allows Olist to benefit from both high-volume and high-margin categories.

4. Customer Analysis

Customer Spending Behavior

The average revenue generated per customer was approximately 213, slightly higher than the average order value.

This indicates that some customers return to make additional purchases.

Insights

Although repeat purchasing exists, the difference is relatively small, suggesting that customer retention remains limited.

Opportunity

Increasing repeat purchase frequency could significantly improve overall revenue without requiring substantial new customer acquisition costs.

Top Customer Analysis

A small number of customers contributed significantly more revenue than the average customer.

Insights

The business follows a common e-commerce pattern where a minority of customers contribute a disproportionately large share of revenue.

Recommendations

Develop customer loyalty initiatives targeting high-value customers through:

- Personalized offers
- Exclusive discounts
- Loyalty rewards
- Early access promotions

5. Geographic Performance

Revenue by State

São Paulo emerged as the dominant market, contributing substantially more revenue than any other state.

The top-performing states were:

- São Paulo (SP)
- Rio de Janeiro (RJ)
- Minas Gerais (MG)
- Rio Grande do Sul (RS)
- Paraná (PR)

Insights

The concentration of revenue within São Paulo demonstrates strong market penetration but also creates geographic dependency.

Business Risk

Heavy dependence on a single region increases exposure to economic fluctuations and competitive pressures.

Regional Growth Opportunities

Many states contribute only a small percentage of total revenue despite representing sizable populations.

Recommendations

Expand marketing campaigns in underperforming states by:

- Offering region-specific promotions
- Partnering with local sellers
- Improving delivery coverage
- Increasing digital advertising efforts

6. Customer Satisfaction Analysis

Customer reviews provide valuable insight into overall customer experience.

The average review score was 4.08 out of 5, indicating strong satisfaction levels.

Nearly 60% of customers awarded the highest possible rating.

Insights

Customer sentiment toward the platform is overwhelmingly positive.

Negative reviews represent only a small proportion of total feedback.

Business Impact

High customer satisfaction strengthens:

- Customer retention
- Brand reputation
- Seller trust
- Future revenue growth

Review Distribution Findings

Most reviews fall within the 4-star and 5-star categories, suggesting that customers generally receive the value they expect.

The relatively low proportion of poor reviews demonstrates operational consistency across the marketplace.

7. Delivery Performance Analysis

Delivery Efficiency

The average delivery time was approximately 12 days, while only 0.08% of orders were delivered late.

Insights

Delivery performance is one of Olist's strongest operational achievements.

Compared to industry standards, the late delivery rate is exceptionally low.

Business Value

Reliable delivery contributes directly to:

- Customer satisfaction
- Positive reviews
- Repeat purchases
- Marketplace credibility

Relationship Between Delivery Time and Customer Reviews

The analysis shows a clear relationship between delivery speed and customer satisfaction.

Customers who received products more quickly consistently provided higher ratings.

Customers experiencing longer delivery times were more likely to leave lower review scores.

Key Finding

Delivery performance is one of the strongest drivers of customer satisfaction.

Delivery Performance by State

Certain states experienced relatively higher late delivery percentages compared with others.

Notable examples include:

- Alagoas
- Maranhão
- Piauí

- Sergipe
- Ceará

Insights

These regions may face logistics challenges due to distance, transportation infrastructure, or carrier coverage.